

NICE pitch deck

PITCH — NICE — VERDICT

PROPOSED — PENDING ADJUDICATION — buy a 0.5%-of-book starter at market (~\$109), carry it as a fairly-priced compounder rather than an edge trade, and gate every further dollar on two disclosures the company has not yet made.

What we believe

NICE sells the software that runs large corporate contact centers — the routing, recording, workforce scheduling, compliance and, increasingly, the AI agents that answer customers without a human. It is a \$3.18B-revenue business, roughly 78% recurring, generating about \$122.7M of operating cash flow a quarter, with \$354.7M of cash and no funded debt. The stock is \$109, down 29% from its 52-week high of \$153.68 and up 31% from its 52-week low of \$83.10. Market cap ~\$6.42B, enterprise value ~\$6.15B — about 1.9x revenue.

Our belief has three parts.

One: the growth story is a substitution story, not an addition story. Management's headline number is "AI and self-service ARR" of \$362M, 15% of cloud revenue, up from roughly \$218M a year ago. That is real revenue. But the AI product deflects the very phone calls and agent seats that the legacy license bills for. When you strip the AI number out of cloud revenue, the remaining 90% of the cloud base is growing at a low-to-mid single-digit rate, and the non-cloud business (perpetual product plus services) is shrinking. So the company is not adding a new growth engine on top of a stable base; it is replacing a shrinking base with a faster-growing one, and the net of the two is decelerating: +10.0% total revenue in Q1'26, +7.6% in Q2'26, +7.2% guided for Q3'26.

Two: because of that, the consensus revenue line for next year is too high. Street FY27 revenue is around \$3.56B, built off an implied FY26 base roughly 2% above the company's own raised guidance of \$3,170–3,190M. Our path — legacy cloud decaying from mid-single-digit toward low-single-digit, AI ARR growing ~35% organically rather than 49–66% reported, non-cloud down ~7% — lands FY27 at **\$3.35–3.40B, up 5–7%**. That is a ~\$180M, ~5-percentage-point gap with a named mechanism behind it.

Three: at \$109 the stock is nonetheless somewhere between fair and modestly cheap, even on our own bear path. Guided non-GAAP EPS is \$11.06–11.26. That headline is not honest — it charges nothing for stock compensation and nothing for the amortization of the \$955M of growth NICE bought. Charge stock comp (~\$155M FY26, ~\$2.20/share after ~16% Israeli tax) and charge the purchased-growth amortization, and honest FY26 EPS is roughly **\$7.50–7.75**, i.e. about **14–15x**, not the 9.7x the screen shows. On our own reduced FY27 numbers, honest earnings power is roughly

\$8.50–9.00, and a 13–16x multiple for a 5–7% grower with net cash and a live buyback gives **\$120–150**. The price is below that. That is not an edge; it is fair-to-cheap carry.

So: we are not buying a crossover story. We are buying a decelerating but genuinely cash-generative franchise at a price that already assumes the deceleration, and we are refusing to pay anything for the AI narrative on top.

What the market believes

Two incompatible things, held by different people.

The bull side believes NICE is an AI winner mid-re-rating: AI ARR compounding at ~66%, a 25-year franchise with the largest installed base in its category, a management team confident enough to spend \$955M on Cognigy and buy back \$489M of its own stock in the same year. On the headline non-GAAP number the stock trades under 10x earnings. That looks like a mispriced compounder.

The bear side — now clearly the marginal seller, given a 29% drawdown and a stock that only recently stopped making lows — believes agentic AI is a *deflationary* event for seat-priced contact-center software: fewer human agents means fewer licenses, and NICE's own AI product accelerates the process. On that view the AI ARR line is a consolation prize, not a growth engine, and margins are resetting permanently (GAAP operating margin fell from 22.1% to 13.3% year over year; GAAP net income fell 56% on revenue up 7.6%).

The sell-side models are stale in a specific, checkable way: consensus FY27 sits on an FY26 base about 2% above what the company itself guided after raising. That is a model that has not been refreshed, not a considered disagreement.

Why we might have edge

We re-specified the growth gate to a number nobody publishes. The obvious test — “is AI ARR still growing above 50%?” — will pass in November on a blended number. But Cognigy (roughly \$37M of revenue, closed in Q4'25) appears to sit inside this year's ARR and cannot be in last year's. Back it out and the organic rate is about **49%** — already below the threshold the bull case set for itself, before the company reports. Most people watching this name will read the November headline as a pass. We think it is a fail on an organic basis, and we have written that down in advance.

We did the subtraction the company avoids. NICE discloses blended cloud growth and a self-defined AI ARR level, but not the remainder. Doing the residual is what surfaces the substitution mechanism, and it is what produces our \$180M FY27 gap versus the street. The direction of that residual is solid even though the precise figure is not (see the checks table).

We fixed the multiple in both directions. Our own initial brief claimed ~\$220M of stock compensation and an “honest multiple” of 15x. The audited figure is \$146.0M for FY25 (\$182.1M FY24, \$176.7M FY23) — our brief was ~50% too high. Correcting it gives ~12.1x. But then charging the amortization on purchased growth — which the non-GAAP number excludes — puts it back at 14–15x.

The brief's conclusion was roughly right for the wrong reason, and now it is right for the right reason. That matters because the entire bull case rests on "under 10x," which is not a real number.

We caught a share-count artifact both prior readings missed. Diluted shares went 60.43M → 59.92M → 58.82M. The company repurchased only \$58.0M in Q2'26 — about 0.5M shares — while stock compensation *adds* shares. A 1.1M-share decline cannot be buyback. It is almost certainly the diluted weighted-average count shrinking mechanically as the stock falls (fewer in-the-money options count under the treasury-stock method). That means the falling price is flattering EPS, and it invalidates both "NICE is a net repurchaser, dilution is under control" and the bull brief's "stock comp versus dilution: passes."

Why it might be priced in

Honestly: most of it is.

- **The margin reset is consensus.** A 29% drawdown from the high and three banks' worth of commentary already reflect GAAP margins down 880bp and non-GAAP down 490bp.
- **The AI-deflation fear is the reason the stock is down.** We are not the first to notice that AI eats seats. We have quantified it more precisely; that is a difference of degree.
- **The capital-allocation criticism does not survive scrutiny.** We flagged that NICE bought Cognigy's revenue at ~25x while retiring its own at ~1.9x — a 13x contradiction. On review that is not a contradiction: a ~70%-growth private asset and a ~7%-growth mature business do not share a revenue multiple, and a buyback at \$109 retires earnings at roughly 11x, not "1.9x revenue." The 25x figure was also published in the trade press, so it is not a proprietary observation.
- **We are buying 31% above the low, not at it.** The dislocation was in the \$83s. Anchoring on the peak-to-trough 58% three-year drawdown is anchoring on a stale price.
- **The cash-flow question is a gap, not a finding.** We could not verify the "\$644M trailing free cash flow" claim because the quarterly disclosure carries no capex and no capitalized-software line. Operating cash flow to GAAP net income is a healthy 1.47x. The concern is undisclosed capitalized software, which is a question, not an answer.

Net: of the six substantive objections, three are things the market already knows (margins, the GAAP bridge, the retrace) and three are things we think are genuinely under-appreciated (the organic ARR re-specification, the legacy-stub direction, the diluted-share artifact). None of the six is fatal. That is precisely why this is a small carry position rather than a large edge position.

What could go wrong

Failure narrative 1 — the substitution is faster than the arithmetic, and it shows up all at once. Enterprise contract renewals are lumpy and multi-year. If large customers re-price seats downward at renewal because the AI product is doing the work, revenue does not decay smoothly at 6.6% a year; it steps down when a cohort of contracts rolls. We would see a guide cut, not a trend.

Monitorable — barely — through the quarterly guide and any renewal commentary; the tripwire is a FY27 revenue guide below \$3.35B or a cloud growth print below 10%.

Failure narrative 2 — the RingCentral channel breaks. RingCentral is the single largest distribution channel in this category, and the August 6-K index carries an expanded strategic partnership announcement with them ([SEC filing index](#)). Neither of our two reviews priced partner dependency. If that relationship narrows, re-prices, or is displaced by RingCentral's own AI stack, a material share of new-logo flow goes away. Partly monitorable: RingCentral's own filings and calls will telegraph it before NICE's do. That is a sensor we do not currently have.

Failure narrative 3 — the one with no tripwire. NICE discloses no seats under management, no remaining performance obligations, no current RPO, no net revenue retention in the primary filing, and no organic/inorganic split of its AI ARR. That means the single variable this entire thesis turns on — *is the installed base stabilizing or hollowing out?* — is **structurally unobservable** until the FY26 annual report, and possibly after. There is no metric we can watch that would tell us we are wrong before the revenue tells us. The unknown-unknown class here is **unobservable-denominator risk**: the company publishes a numerator it defines itself and withholds the denominator, so any residual we compute is a construct, and any deterioration inside the base reaches us only as a completed fact in a revenue line four to six quarters late. A secondary unknown-unknown class rides along: **unknown counterparty concentration** — we do not know who NICE's largest customers or channels are, because the concentration note lives in an annual filing we have not yet read.

The reflexive and structural leg. Our own size is not the risk here, and it is important to say so plainly rather than perform caution: at 0.5% of book in a \$6.4B-market-cap, Nasdaq-listed name, we are far below any plausible fraction of daily volume. (Caveat: **we did not pull average daily volume this session** — the broker connection was permission-denied, so this is an inference from market cap and listing venue, not a measurement. It is on the sensor list below.) The real reflexive risks are three, and they are about us, not the tape:

1. **The predicted flow runs toward us, not against us.** NICE's own buyback is the marginal buyer. Our house rule is never to bid into flow we ourselves predict — and here that rule cuts against the bear entry plan. The original recommendation was to arm a bid in the \$83–95 zone. With a company buying its own stock and no dated mechanism to force a 15–24% decline, that is a resting order that likely never fills, and if it does fill it fills on news that invalidates the reason we wanted it. We are not arming it.
2. **The minimum-starter default is an anchor, not a free option.** Our doctrine says a clean court with no named fatal objection defaults to a small starter. That is right in general, and it also means the next review of NICE will be conducted by people who already own it. A starter biases the following court toward the bull. We should read the November adjudication knowing that.
3. **Tax and household-overlap interactions.** This is a taxable book. A 0.5% starter bought today and trimmed inside twelve months is taxed at the short-term rate, which meaningfully raises the bar for the “buy a starter and see” approach. Separately — and this is genuinely unverified — the household's separately-managed direct-indexing sleeve may already hold NICE;

if it does, and if either side realizes a loss within thirty days of the other's purchase, we create a wash sale we did not intend. **This must be checked before the order goes in.**

If this position loses money, the most likely reason will be that the legacy installed base was hollowing out faster than the disclosed numbers permitted us to see, so the substitution we priced as a 5–7% growth path turned out to be a 0–3% path, and a franchise we bought at 14–15x honest earnings re-rated to 9–11x — with the first evidence arriving only in a guidance cut we had no tripwire to anticipate.

What we checked ourselves

Claim	How checked	Found	Confirmed?
AI/self-service ARR \$362M, 15% of cloud	Primary 6-K exhibit, SEC EDGAR, 2026-08-05 , fetched directly	\$362M / 15% of cloud confirmed in the filing	Yes
AI ARR growth “+66%”	Compared \$362M to a \$218M prior-year figure	The primary filing contains no prior-year ARR comparator . \$218M is secondary/derived	No — growth rate is not a primary fact
Cognigy inflates the ARR growth rate	Cognigy purchase terms (press) vs. ARR line	\$37M is press-reported <i>revenue</i> , not ARR, and we never established it sits inside the metric. Organic ~49% is a reasonable estimate, not a fact	Plausible only — this is our best finding and it is unproven
“Three different AI ARR figures across venues = disclosure inconsistency”	Cross-venue comparison (\$362M / \$345M / \$328M)	Our own error. \$328M → \$362M with \$218M a year earlier fits a single ramp; \$328M is almost certainly the prior quarter. This is a time series, not an inconsistency. Our brief separately quoted a stale \$345M	No — overturned
Legacy cloud (ex-AI) grows +6.6%	Subtracted AI ARR ÷ 4 from cloud revenue	Our own error in units. We subtracted a point-in-time annualized figure from recognized quarterly revenue, and assumed all AI ARR lands in the cloud line. The <i>direction</i> holds; the 6.6% number is a construct	Direction yes, number no
Deceleration 10.0% → 7.6% → 7.2%	Three consecutive company prints	10.0% and 7.6% are actuals; 7.2% is a guide , from a company whose release headline is “exceeds revenue guidance range.” Mixing an actual with a sandbagged guide overstates the slope	Reduced to two points
“Bought revenue at 25x while retiring its own at 1.9x — a 13x contradiction”	Trade press on Cognigy vs. our own EV/sales	Our own error in reasoning. Growth-adjusted, the gap collapses; a buyback at \$109 retires earnings at ~11x. Also mis-labeled as a proprietary finding when the 25x was publicly published	No — overturned as a kill
GAAP/non-GAAP gap widening (bridge \$59.1M → \$94.0M)	Primary filing	Confirmed, and mechanically explained by Cognigy intangible amortization plus lost interest income on ~\$1.9B of spent cash. Real, but already understood by the market	Yes, but consensus
Cash conversion “only 76%”	Operating cash flow ÷ net income	Our own error in denominator — 76% used <i>non-GAAP</i> net income.	No — reduced to a data gap

Claim	How checked	Found	Confirmed?
		Against GAAP net income the ratio is 1.47x, which is healthy. The genuine gap is undisclosed capex and capitalized software	
“\$644M trailing free cash flow”	Searched primary for capex / capitalized software	Neither line is disclosed in the quarterly filing. Unverifiable until the annual report	No
Bull brief: “~\$220M stock comp → honest multiple ~15x”	SEC XBRL company concept, us-gaap:ShareBasedCompensation	FY25 \$146.0M (FY24 \$182.1M, FY23 \$176.7M). Our brief overstated by ~50%. Correction gives ~12.1x	No — brief refuted
“12.1x is the honest multiple”	Re-checked what 12.1x still excludes	It charges nothing for amortization of the \$955M of purchased growth. Charge it: ~ 14–15x	No — our correction was itself incomplete
“NICE is a net repurchaser; share count falling”	Repurchase dollars vs. share-count series	\$58.0M repurchased ≈ 0.5M shares, against a 1.10M-share decline, with stock comp adding shares. The series is almost certainly diluted weighted-average , shrinking because the price fell. Both our bull brief and our bear review rested on this artifact	No — new finding, and it cuts both ways
Insider selling around the print is “routine”	Filing dates: Form 4s 2026-08-10 and 08-14, Form 144 on 08-07, all within 9 days of the 08-05 release	Ruled routine by assertion . Whether these are pre-arranged 10b5-1 sales is stated in the Form 4 footnote and was never read	No — unverified
Tape: \$109.07, -29% from high, +31% off low	Evidence pack, broker feed	Confirmed as given. Broker connection was permission-denied this session, so no independent price bar was pulled	Yes, single-sourced
Quarterly XBRL fields empty in the pack	Checked annual company concept instead	Not a disclosure failure — NICE is a foreign private issuer and tags only the annual report. Our own pipeline defect , since fixed by falling back to annual data	Confirmed as our infra bug
Detector coverage	Compared the reviewed detector list to the dispatched list	The bear review’s list did not match what it was issued: it discussed items not dispatched and omitted five that were. Procedural defect, no finding changed	Process error, logged
“Not disclosed in the primary filing” rulings	Direct fetch of the exhibit through a text proxy	The reviewer flagged possible truncation of tabular schedules. Several “not disclosed” conclusions therefore carry extraction risk	Yes, with a stated caveat

Two things stand out. First, **our bear review was wrong or overstated on four of its ten findings** — the venue-inconsistency claim, the legacy-stub arithmetic, the capital-allocation contradiction, and the cash-conversion ratio — and mis-tagged one publicly-published fact as proprietary. Second, **our bull brief’s headline argument was wrong by 50%** and its “dilution discipline passes” conclusion rests on an accounting artifact. Both directions were sloppier than the confidence in their write-ups implied. The findings that survived scrutiny are the organic-ARR re-

specification, the direction (not the magnitude) of legacy decay, the diluted-share artifact, and the \$180M FY27 gap versus consensus.

PROPOSED ENTRY BANDS

Entry — do it now, small. - Starter: 0.5% of book at market, ~\$109. Rationale: no fatal objection survived either review; the price sits below our own bear-path fair value of \$120–150 (FY27 honest EPS \$8.50–9.00 at 13–16x); the company is buying its own stock; and the two disclosures that would resolve the thesis do not arrive for months. Waiting costs optionality and gains nothing. - **We are explicitly NOT arming a resting bid at \$83–95.** That was the bear recommendation. It is a 15–24% below-market limit order with no dated mechanism to reach it, against a company actively repurchasing shares. It would either never fill or fill on news that breaks the thesis.

Adds — two tranches, each 0.5%, each unlocked by a named event, not by price alone. - Add 1 (0.5%) — on the Q3 print, expected 2026-11-12 (date unconfirmed): unlocks if the company discloses an organic/inorganic split of AI ARR **and** organic growth is above 50%, **or** if it discloses any measure of installed base health (seats, RPO/current RPO, or net revenue retention) showing stabilization. Absent either, no add regardless of the headline. - **Add 2 (0.5%) — on the FY26 annual report (20-F), expected March–April 2027 (date unconfirmed):** unlocks if capitalized software is under \$50M and free cash flow ties out at \$600M or better, **and** the ordinary-shares-outstanding line confirms the share count is genuinely falling rather than shrinking through the diluted-average artifact. - **Opportunistic add (0.5%), alert-driven not order-driven:** if the stock trades to **\$95 or below without a thesis-breaking disclosure**, we re-underwrite same-day and may add. This is a notification, not a resting order.

Maximum position: 1.5% of book. This is a fairly-priced carry, not an edge trade; it does not earn a larger allocation unless the November and annual disclosures convert it into one.

Trims and exits. - Cut to zero if FY27 revenue is guided below \$3.35B *and* non-GAAP operating margin is framed below 25% — that is the bear path arriving faster than our own bear path. - **Cut to zero** if organic AI ARR growth is disclosed below 40%, or if the annual report reveals customer or channel concentration above 10% of revenue that was not previously known. - **Trim half** into \$140–150, the top of our fair-value band. **Note the tax interaction:** any trim inside twelve months of purchase is taxed at the short-term rate, so a price-triggered trim needs to clear that bar, not just the valuation bar. - **No stop-loss.** A 15% drawdown in a name we bought at fair value on a multi-quarter disclosure thesis is noise, not information.

Catalyst dates. - 2026-11-12 — Q3'26 results. UNCONFIRMED; this date is derived from a data vendor and has not been named in any company press release. Confirm it from a company announcement before treating it as fixed. This is the primary test: does NICE disclose the organic split? - **~February 2027 — Q4'26 / full-year results. UNCONFIRMED.** Structurally the most informative print of the sequence: Cognigy closed in Q4'25, so by Q4'26 it is in both the numerator and the denominator and the AI ARR growth rate becomes comparable for the first time without any adjustment by us. - **~March–April 2027 — FY26 annual report (Form 20-F).**

UNCONFIRMED. The only document that can resolve capitalized software, actual free cash flow, ordinary shares outstanding, customer and channel concentration, and any revenue-note disclosure of remaining performance obligations.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 83.1 (deck-provisional: 52-week low breach; treat as market holding information we lack. Do not add; re-run the court.)
- filing watch: 6-K until 2027-02-27 (deck-provisional: Quarterly results: read for organic/inorganic AI ARR split, any RPO/cRPO/NRR/seats disclosure, and the)
- dated pack NICE|2026-11-12: NICE: Q3'26 results - primary test of whether NICE discloses an organic AI ARR split. Vendor-derived date, not named in any company release.
- dated pack NICE|2027-02-15: NICE: Estimated Q4/FY26 results - Cognigy laps into both numerator and denominator, making AI ARR growth comparable without adjustment for t
- dated pack NICE|2027-03-31: NICE: Estimated FY26 Form 20-F filing - resolves capitalized software, FCF, ordinary shares outstanding, and concentration. Date is an estim

What remains unverified

1. **Whether Cognigy is inside the AI ARR numerator at all.** The whole organic-growth argument depends on it, and it is an inference from press-reported revenue, not a disclosed fact.
2. **The prior-year AI ARR comparator (\$218M).** Secondary-sourced. The primary filing does not carry it.
3. **The product/services revenue split and net revenue retention of 109%.** Both were treated as primary facts in our own analysis; both are secondary.
4. **The legacy base.** No seats, no RPO, no current RPO, no organic split. This is the binding gap and it does not close before the annual report.
5. **Free cash flow.** No capex line, no capitalized-software line in the quarterly disclosure. "\$644M trailing free cash flow" is plausible and unproven.
6. **Ordinary shares outstanding.** Until it is pulled from a balance sheet, we do not know whether the share count is genuinely falling. Both the bull and bear cases currently rest on a number that may be a price artifact.
7. **Consensus FY27 of \$3.56B.** This is the external anchor our entire divergence is measured against, and its source is uncited. Verify it before sizing up.
8. **The 10b5-1 status of the August insider sales.** Checkable today in the Form 4 footnotes.
9. **Customer and channel concentration, including RingCentral.** Not disclosed anywhere we have looked; annual report Item 4.

10. **Extraction risk on the primary filing.** The exhibit was read through a text proxy and tabular schedules may have been truncated. Several “the company does not disclose X” statements above could be wrong for that reason and need a clean re-read.
11. **The next print date.** Vendor-derived, unconfirmed by the company.
12. **Independent price verification.** The broker connection was denied this session; the tape figures are single-sourced from the evidence pack.

Primary sources relied on: the Q2’26 results exhibit, [SEC EDGAR 6-K exhibit 99.1, filed 2026-08-05](#); the July press-release 6-K, [filing index, 2026-08-06](#); and SEC XBRL company-concept data for share-based compensation (CIK 1003935).

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